

Merger Arbitrage and Synergy Valuation

The Sun Pharma – Organon Deal

Standalone valuation, event study, and merger-arbitrage risk assessment

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Prepared 7 August 2026 | Data snapshot: 6 August 2026 close

Recommendation

VERDICT

PASS — conditional

Only pays if completion is near 93.9%

At an 8.1% break probability, it does not.

STANDALONE vs OFFER

\$6.90 vs \$14.00

IMPLIED SYNERGY

\$1.86B

IMPLIED P(COMPLETE)

93.9%

FWD RETURN vs Rf

0.07% vs 4.62%

Two facts favour the optimistic read

Approval obtained; acquirer's stock rose on announcement.

One gap remains open

Outstanding regulatory closing conditions were not verified.

If taken, hedge at pre-leak vol

A protective put costs \$0.08/share priced correctly.

The Deal

\$14.00/share, all cash — \$11.75bn EV

Largest ever by an Indian pharma company.

102.9% premium to the unaffected close

Reconciles exactly against the filing.

Organon carries heavy spinoff debt

Net debt \$8.07bn vs \$1.81bn market cap — 11.5x debt/equity.

No synergy figure was disclosed

Confirmed against the SEC filing.

TIMELINE

16 Jan 2026	Reference date, pre-speculation
9 Apr 2026	Unaffected close: \$6.90
26 Apr 2026	Announcement: \$14.00/share
23 Jul 2026	Shareholder approval obtained
6 Aug 2026	Snapshot: \$13.57, spread 3.17%
Early 2027	Expected close

Is the Price Fair?

Discount rate cross-validated, not assumed

Market-implied 6.61% sits between an embedded floor and a credit-risk ceiling.

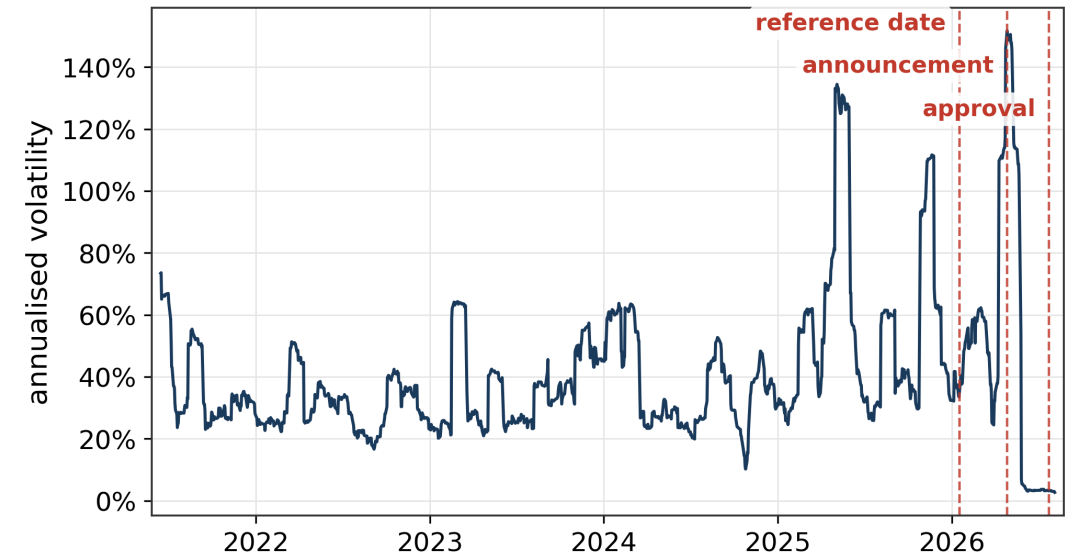
\$14.00 needs revenue to reverse to +3.9% growth

Against an actual -0.38% two-year CAGR. A real ask — not a hockey stick.

WACC CROSS-CHECK

Embedded cost of debt	5.29%
Market-implied (used)	6.61%
Marginal / synthetic-rating	7.90%

Organon: 21-day rolling annualised volatility



Source: Yahoo Finance / SEC EDGAR

IMPLIED SYNERGY

\$1.86B

OF STANDALONE EV

18.9%

What Happened Around the Deal

Volatility collapsed ~95% once signed

94.2% before announcement, 4.5% after — now priced on completion risk, not fundamentals.

69.6% of the move came before the announcement

But not a leak: CAR $p=0.30$, volume $z=0.05$ — a gradual three-month re-rating.

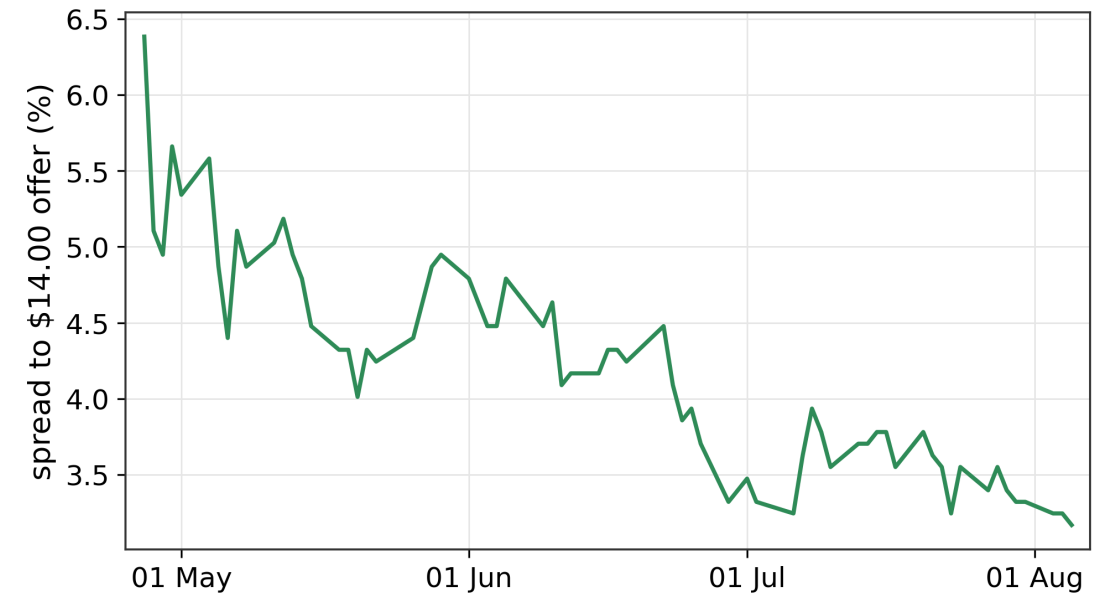
The acquirer's own stock rose, significantly

Sun Pharma CAR +9.6%, $t=2.64$ — the opposite of an overpayment signature.

Idiosyncratic to these two names

No US pharma peer showed a significant reaction.

Merger arbitrage gross spread, post-announcement

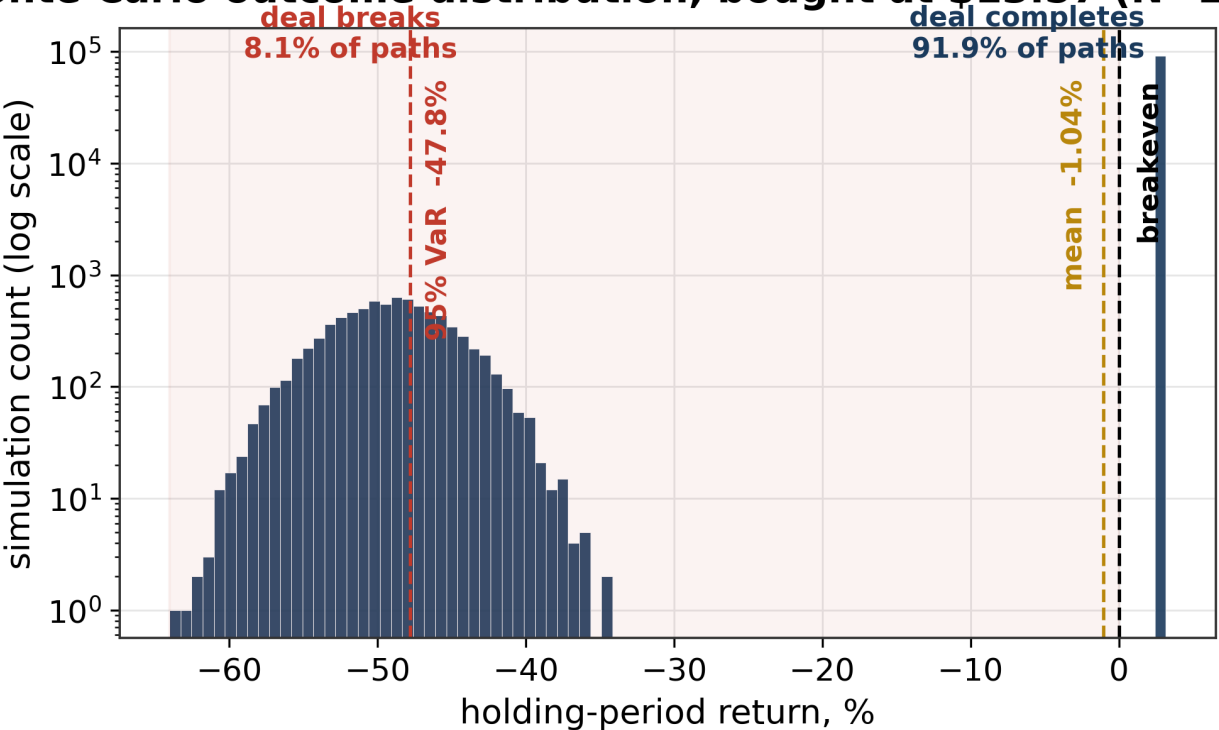


Source: Yahoo Finance / SEC EDGAR

Spread grinds from 5.11% to 3.17% as completion risk falls

Should the Spread Be Traded Today?

Monte Carlo outcome distribution, bought at \$13.57 (N=100,000)



Source: simulation on the parameters described above; log count axis

GROSS SPREAD / IMPLIED P

3.17% / 93.9%

PROBABILITY OF A LOSS

8.1%

95% VaR / CVaR

-47.8% / -51.5%

MAX-SHARPE ALLOCATION

0% (vs. 100% S&P 500)

Hedging Deal-Break Risk

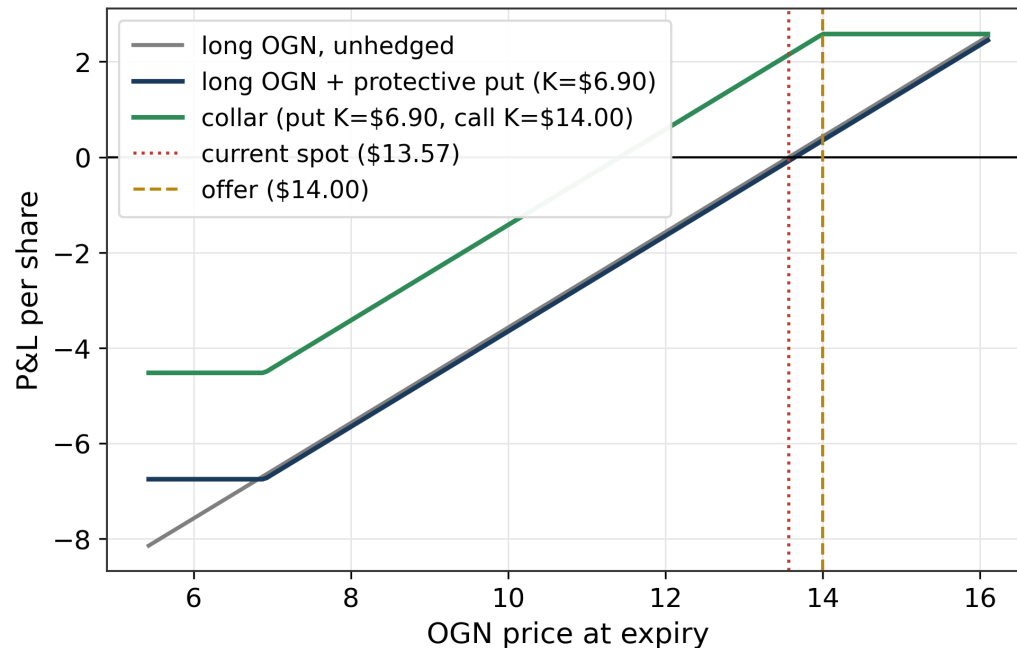
Organon's listed options are unusable

Zero bid/ask and zero open interest — same across every large US pharma peer.

So Black-Scholes is built from first principles

Priced on pre-leak volatility, not the deal-pinned 4.5%, which would be circular.

Payoff at expiry: unhedged vs. protective put vs. collar



Source: Black-Scholes priced on pre-leak realised volatility

PROTECTIVE PUT, K=\$6.90

\$0.08 / share

SAME PUT AT CIRCULAR VOL

\$0.00

PUT DELTA

-0.031

Limitations

Discount rate is calibrated, not independent

Cross-checked against two modelled bounds, but anchored to market price.

Closing conditions not verified

Beyond the SEC filings reviewed.

Synergy figure is mine, not management's

No dollar figure was disclosed.

Fiscal years differ

Reconciled to trailing twelve months where compared.

Break price is a proxy

Tested at the unaffected close and 10%/20% below.

Point-in-time as of 6 Aug 2026

Prices and spreads move daily.